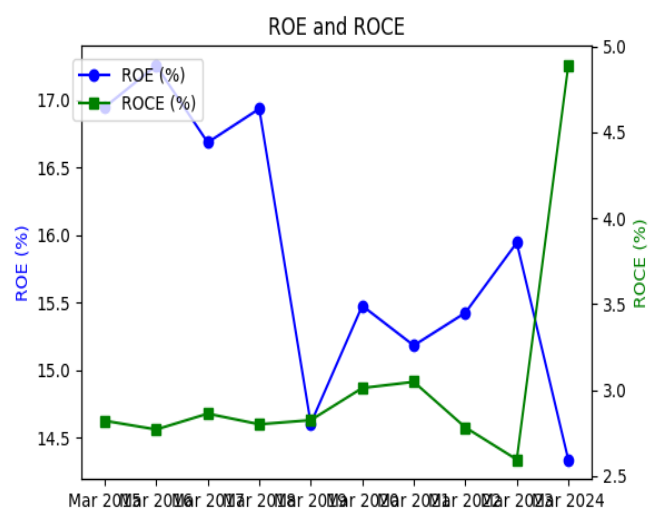
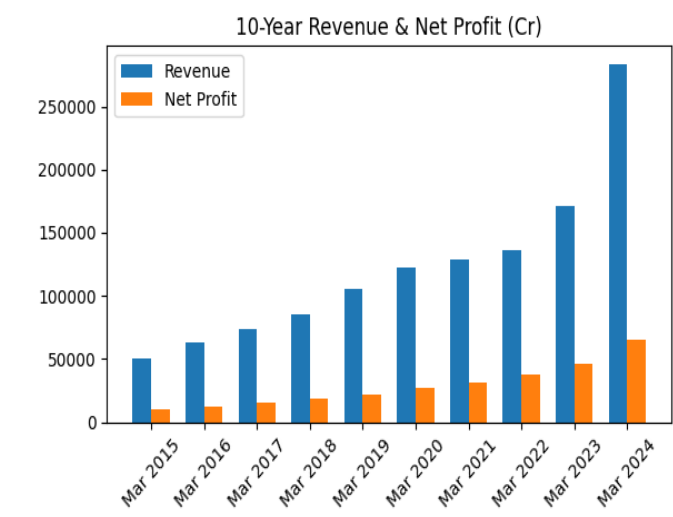
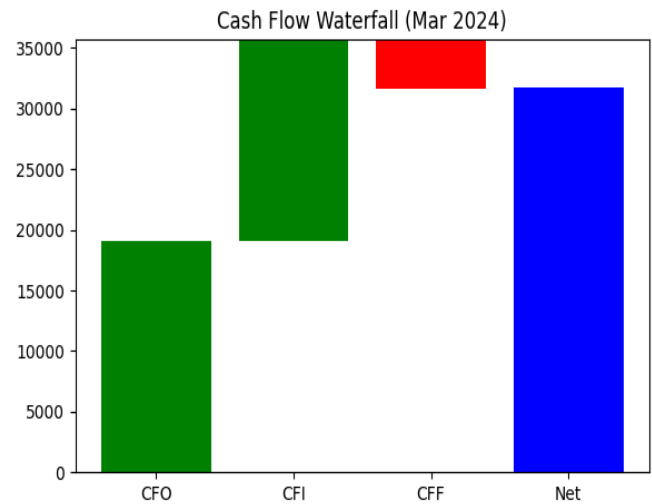
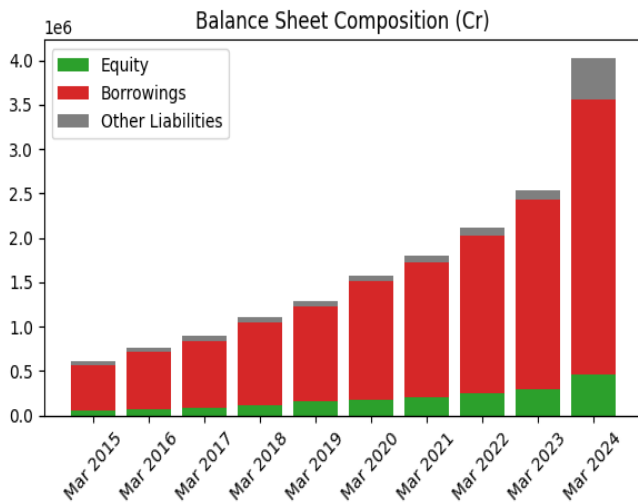


HDFC Bank Ltd (HDFCBANK)

Revenue ■329,022 Cr	Net Profit ■72,168 Cr	ROE 14.3%
ROCE 4.9%	CFO Quality Accrual Risk	Allocation Liquidating Assets





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation Pattern: Liquidating Assets